5.1.3 Net debt

€ millions	30.06.2024	30.06.2025
Gross non-current debt	11,040	10,434
Gross current debt	2,130	1,718
Non-current derivative instruments – assets	—	(36)
Current derivative instruments – assets	—	—
Non-current derivative instruments – liabilities	10	—
Current derivative instruments – liabilities	6	4
Cash and cash equivalents	(2,683)	(1,829)
NET DEBT EXCLUDING LEASE LIABILITIES	**10,503**	**10,292**
Lease liabilities	448	435
NET DEBT	**10,951**	**10,727**
Free cash flow[1]	963	1,133

(1) The calculation of free cash flow is set out in section 5.3 "Net debt" to the management report.

5.1.4 Cash flow statement

€ millions	30.06.2024	30.06.2025
Self-financing capacity before interest and taxes	*3,378*	*3,101*
Net interest paid	*(336)*	*(426)*
Net income tax paid	*(547)*	*(417)*
Decrease/(increase) in working capital requirement	*(768)*	*(470)*
Net change in cash flow from operating activities	**1,727**	**1,788**
Net change in cash flow used in investing activities	**(676)**	**(521)**
Net change in cash flow used in financing activities	**(209)**	**(2,396)**
Cash flows from discontinued operations	—	—
Translation differences	232	275
CASH AND CASH EQUIVALENTS AT BEGINNING OF PERIOD	**1,609**	**2,683**
CASH AND CASH EQUIVALENTS AT END OF PERIOD	**2,683**	**1,829**

5.2 Analysis of business activity and results

Consistent organic operating margin expansion, investing in brand desirability and sustainable long-term growth

- **Fiscal year 2025 Organic Net Sales -3.0%**, with declines in China, USA and GTR Asia negatively impacting mix, while many markets posted a resilient to strong growth, leading to gaining or maintaining shares in most of them.
- **Continued volume recovery (+2%)** with three consecutive semesters of volume growth.
- **Strong FY25 organic operating margin expansion at +64bps**, supported by the completion in FY25 of a €900m efficiency program FY23-25 and strong cost discipline.
- **Sustained reported operating margin** despite significant adverse FX impacts.
- **Free Cash Flow at €1.1bn,** (+18%) notably with strong Operating Working Capital management, leading to a strong improvement in cash conversion.
- Sustainable long-term growth investments with €1.2bn in **Capex and Strategic Inventories**, passed peak in FY24, along with continued dynamic portfolio management (including Wines and Imperial Blue[1] businesses disposals).

(1) Subject to regulatory approvals.